DBS - RHB Research 2026-07-14: Expecting Resiliency For Upcoming 2Q26 Results; BUY

DBS: Expecting Resiliency For Upcoming 2Q26 Results; BUY

- DBS (SGX:D05) (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) is slated to announce its 2Q26 results on 6 Aug 2026 (see Earnings Calendar (https://sginvestors.io/news/sgx-stocks-earnings-calendar)). We expect 2Q26 PATMI to rise by a low-single digit y-o-y on non-II-led growth but earnings could be flattish q-o-q given the h[illegible]n-II base in 1Q26. This should bring 1H26 earnings to around 52% of our 2026F PATMI.

- Despite its premium valuation, we see DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) as a core holding for investors thanks to its wealth franchise and “in-the-bag” dividend as well as attractive yield.

Expect Non-II To Drive 2Q26 Operating Income Higher Y-O-Y...

- We expect DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) to post a healthy y-o-y increase in non-interest income (non-II), thanks to higher fees led by wealth management activities. In addition, DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) had a relatively more subdued 2Q25 for fees with both wealth- and loan-related fees down q-o-q, i.e. y-o-y growth would also be aided by a low base effect.

- At its 1Q26 results briefing, DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) said its bancassurance has been strong and sees potential upside to its commercial book non-II growth guidance of a high-single digit if market sentiment stays strong.

- On the whole, we estimate 2Q26 non-II could chalk up low double-digit y-o-y growth but q-o-q, we think non-II could be flat.

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...And Help Cushion Net Interest Income (NII) Pressure.

- As for NII, we expect the trend to be a reverse to non-II, i.e. we estimate 2Q26 NII could be down y-o-y amid lower net interest margin (NIM), cushioned by loans and asset growth, while q-o-q, NII could tick slightly higher amid balance sheet expansion.

- Recall that DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) sees decent loans growth in 2Q26 (1Q26 loans growth: +4% y-o-y, +7% annualised), backed by a strong deal pipeline in sectors such as energy and renewables, M&A and real estate.

- Meanwhile, the recent banking statistics (May 2026) point to an acceleration in loans growth and loans could potentially outpace deposit growth q-o-q and y-o-y come quarter-end. This would be positive for banks' NIM and NII.

No Major Surprises Anticipated For Asset Quality.

- Based on discussions with peer banks, we learnt that asset quality has been stable and there has been no material developments observed during the quarter. As such, we are not expecting any major surprises for DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) on asset quality and its 17-20bps specific allowance guidance should be intact.

- Moreover, it continues to hold on to S$2.4bn in general provision overlays, which should help to mitigate the impact of unexpected non-performing asset (NPA) incidences.

Higher Dividends, But No Surprises Expected.

- We expect a second interim dividend of 66 cents and a capital return dividend of 15 cents, bringing **total 1H26 DBS's dividends (https://sginvestors.io/sgx/stock/d05-dbs/corporate-action) to S$1.62**. This would be up from the interim 60 cents and a capital return dividend of 15 cents in 2Q25 and total 1H25 dividend of S$1.50.

Keep BUY, With New S$75.70 Target Price From S$66.10, 7% Upside And ~5% Yield.

- No change to our earnings forecasts. However, our **DBS's target price (https://sginvestors.io/sgx/stock/d05-dbs/target-price) – which includes an unchanged 2% ESG premium – rises to S$75.70** on the lower COE.

Above is an excerpt from a report by RHB Securities Research.
Clients of RHB may be the first to access the full PDF report @ https://www.rhbtradesmart.com/ (https://www.rhbtradesmart.com/).

Analyst: Singapore Research
(https://www.rhbgroup.com/)

Read also RHB's most recent report:
2026-08-07 **DBS - Valuations And Share Price To Stay Higher For Longer?** (https://sginvestors.io/analysts/research/2026/08/dbs-rhb-research-2026-08-07).

Price targets by 4 other brokers at **DBS Target Prices (https://sginvestors.io/sgx/stock/d05-dbs/target-price)**.

Listing of research reports at **DBS Analyst Reports (https://sginvestors.io/sgx/stock/d05-dbs/analyst-report)**.

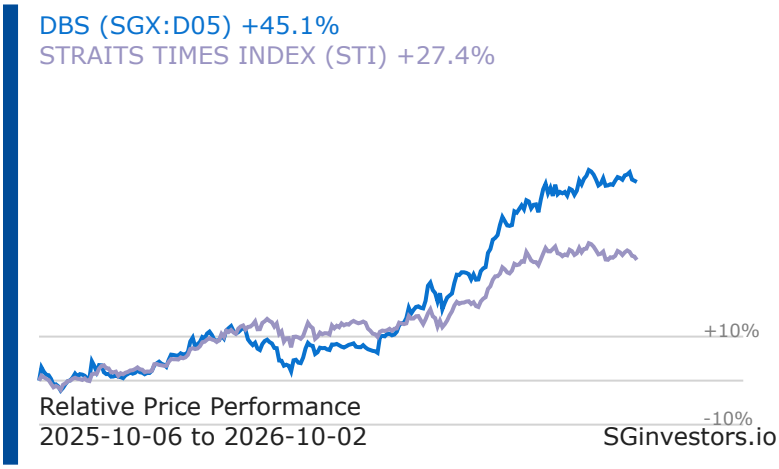
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